

Forecasting bond returns is simpler than forecasting stock returns. In the very long run, stock returns are driven by corporate earnings growth and the cash paid out as stock dividends. The only factor that affects future bond returns is interest rates. The formula for calculating the expected long-term return of bonds is:

Fixed-income return = yield at purchase + change in yield

Change in yield = change in inflation rate, the real risk-free rate and credit spreads

If you buy a five-year corporate bond that has a 3 percent yield to maturity and interest rates do not change before the bond matures, then your annualized return after five years will be 3 percent. The example assumes that all interest payments are reinvested. If there is a change in interest rates, then your total return may be higher or lower depending on the direction of the change. That is due to differences in the reinvestment rate of the interest. If interest rates go higher while you own the bond, then your interest payments will be reinvested at higher rates, and you will achieve a higher return than 6 percent. The opposite is true if interest rates go lower—your return will be less than 6 percent.

Reported inflation and future inflation expectations are two primary drivers of interest rates. If actual inflation increases, interest rates go higher and bond prices fall. If there is lower inflation (disinflation), then interest rates go down and bond prices go up. Changes in anticipated inflation also move interest rates in the same way as actual inflation. However, if the forecasts do not prove to be accurate, interest rates will revert back to their original level. [Figure 11-11](#) illustrates the inverse relationship between the inflation rate and Treasury note yields.

FIGURE 11-11

Interest Rates Track Inflation over Time